The Fed Paradox: Inflation & Employment

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Data 608
Story 2
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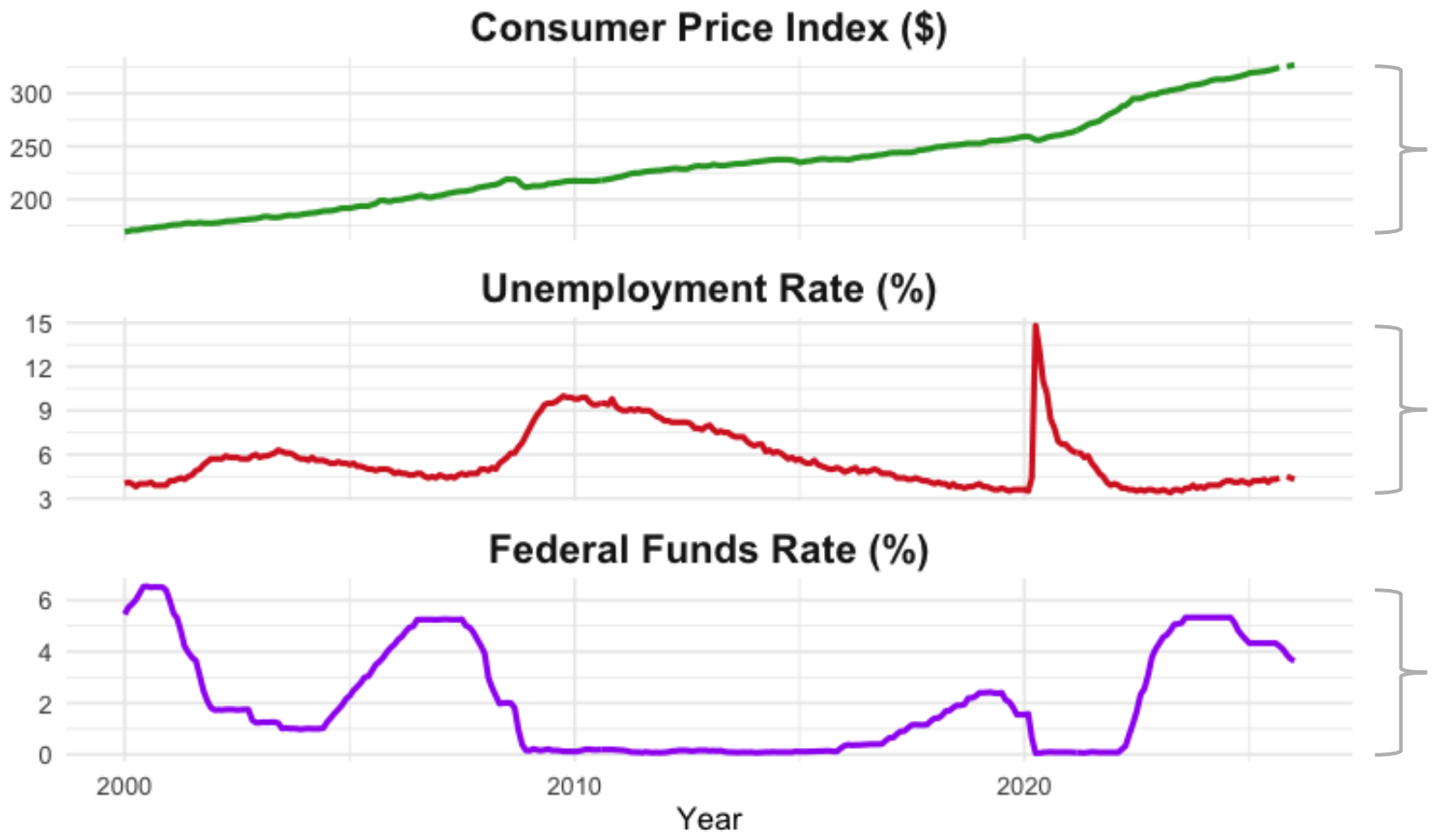
Focus: Chart Focus

Inflation & Employment

The Federal Reserve Bank (The Fed) has a dual mandate:



Control inflation, monitored with the Consumer Price Index

Minimize unemployment

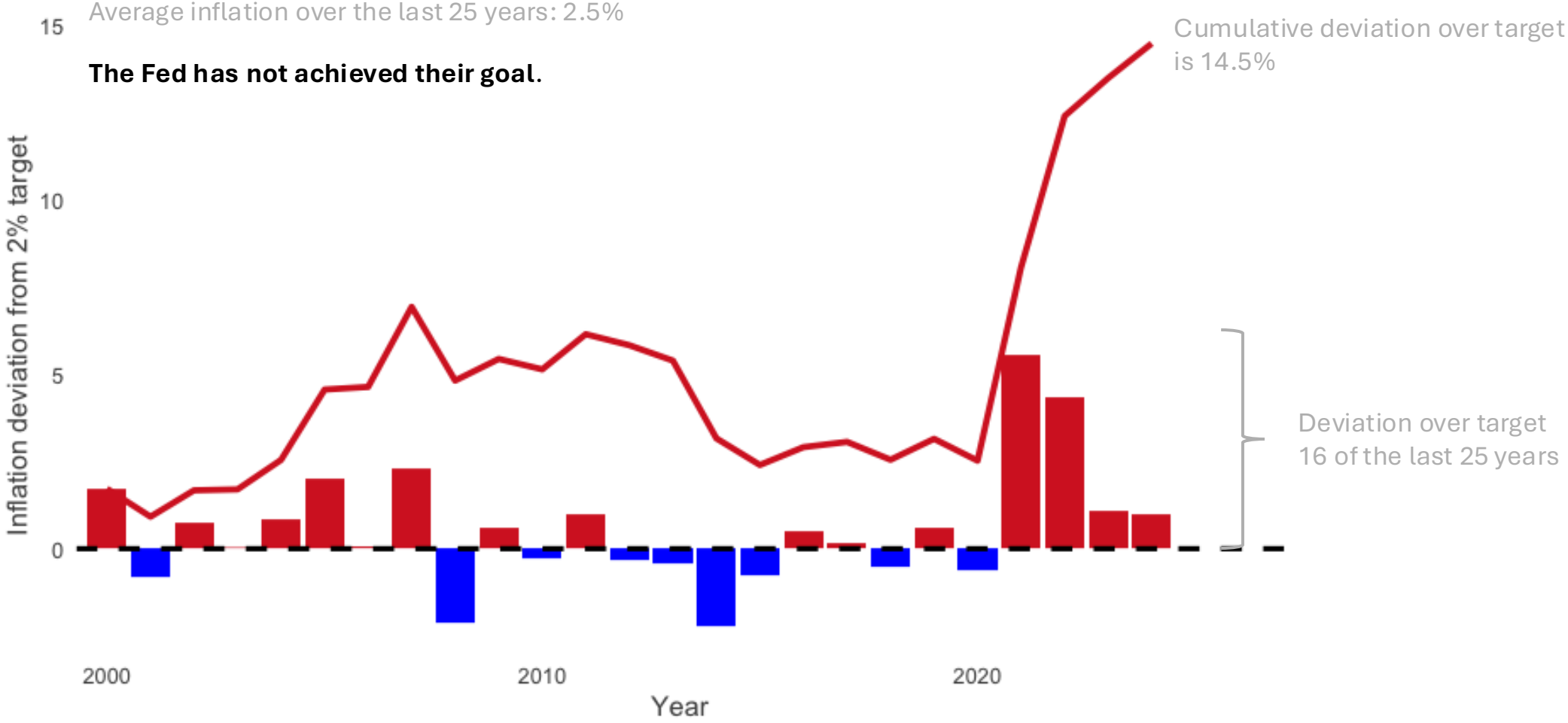
By adjusting the Federal Funds Rate

Inflation

The Fed "seeks to achieve inflation at the rate of 2 percent over the longer run…"[1]

Average inflation over the last 25 years: 2.5%

The Fed has not achieved their goal.

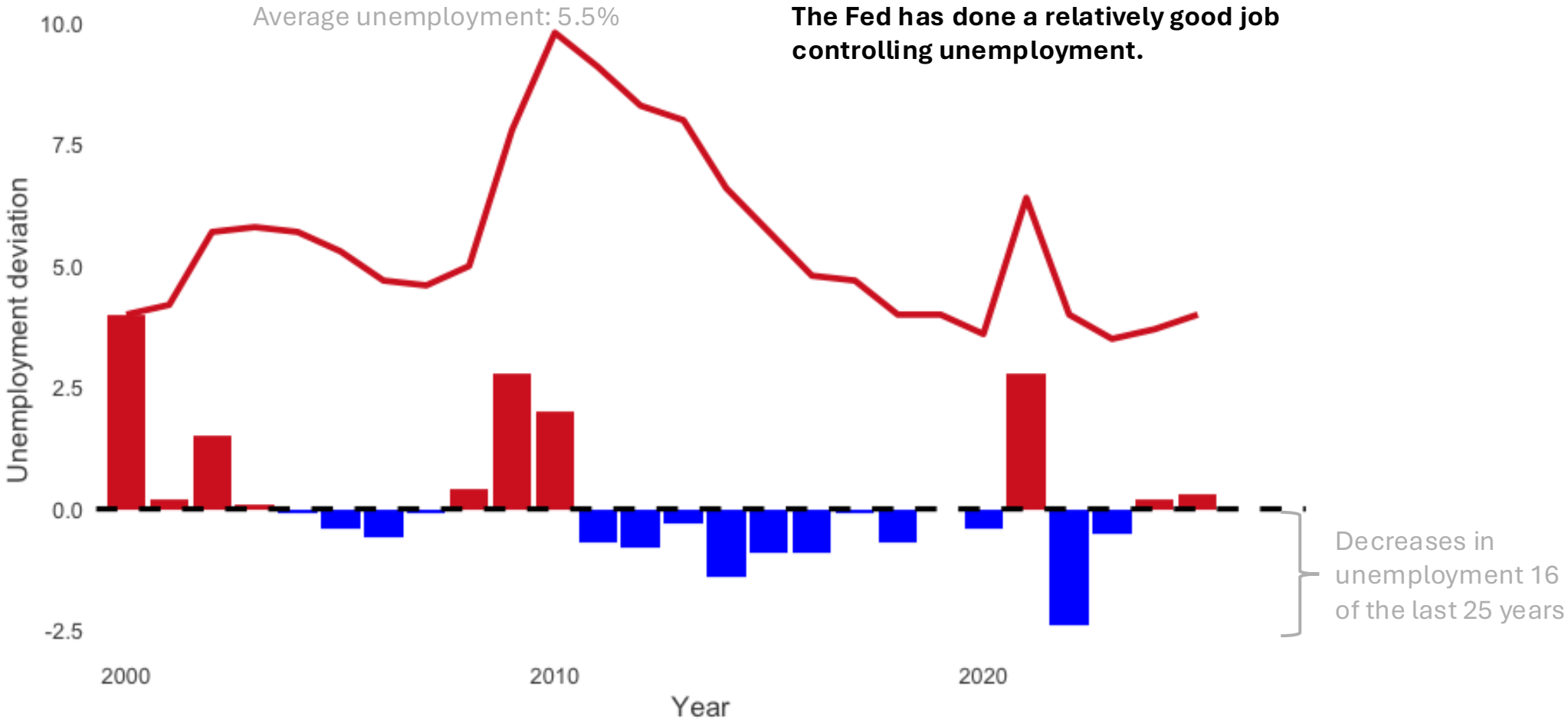


Inflation deviation
Bars: annual deviation | Line: cumulative deviation

1. https://www.federalreserve.gov/economy-at-a-glance-inflation-pce.htm

Unemployment

The Fed seeks "to promote maximum employment..."[1]

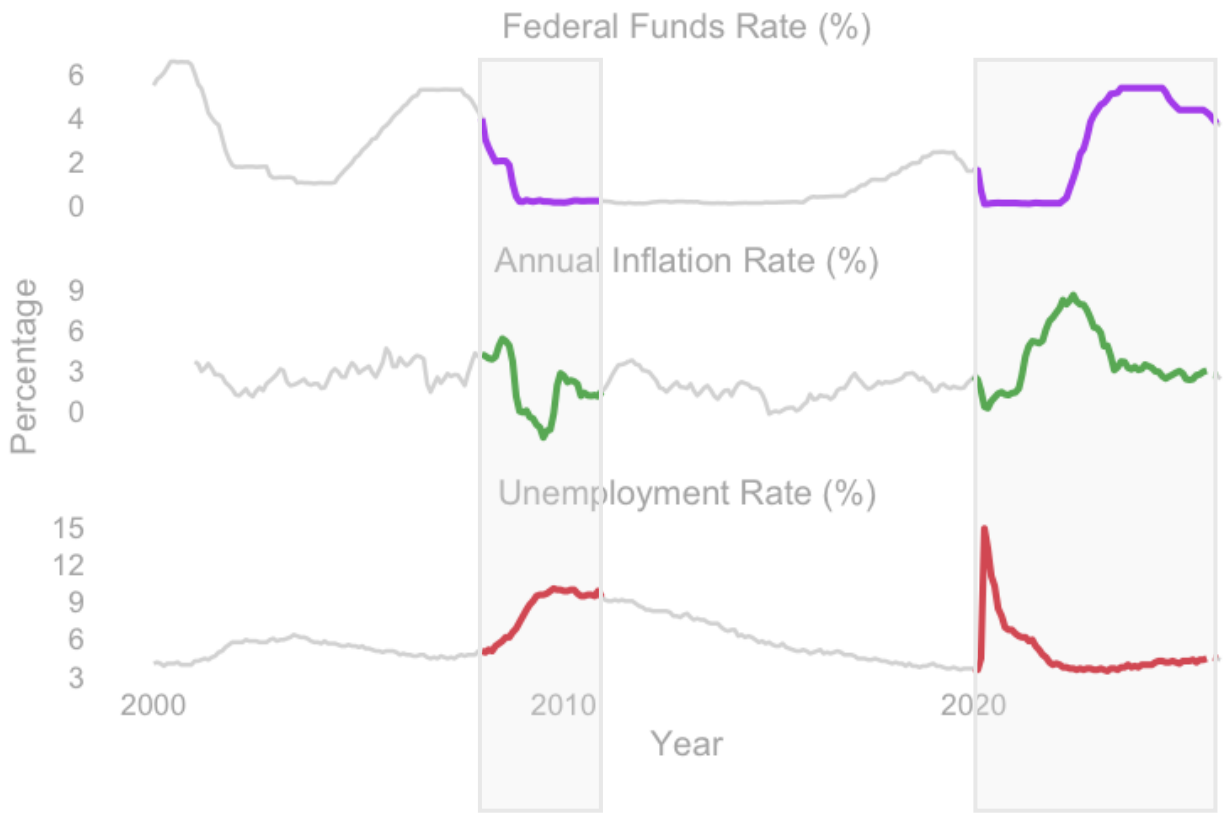


Unemployment deviation
Bars: annual deviation | Line: cumulative deviation

1. https://www.federalreserve.gov/economy-at-a-glance-unemployment-rate.htm

The Fed Funds Rate In Action

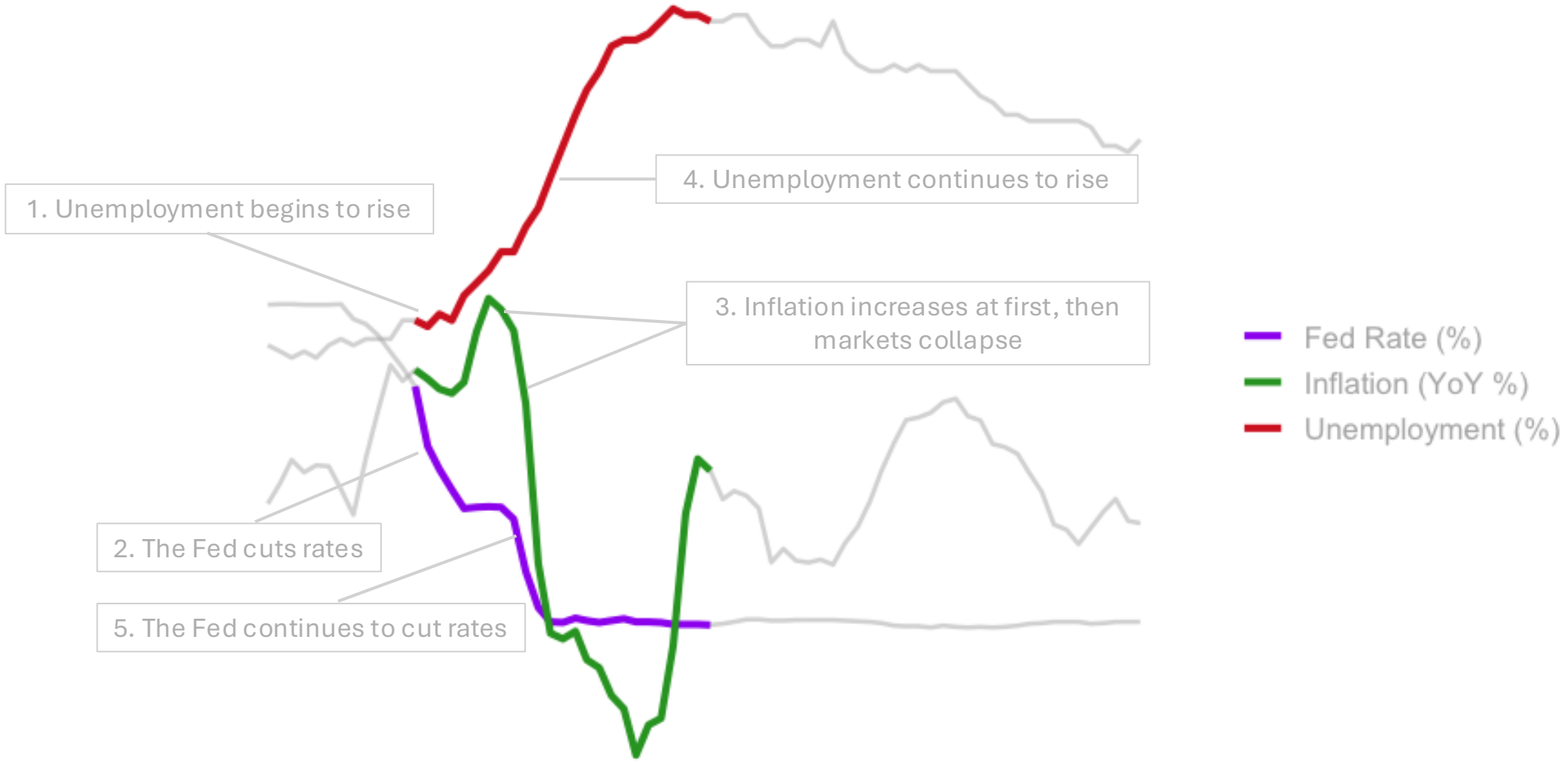
Does the Funds Rate play a role in correcting a financial crisis?



The 2008 financial crisis

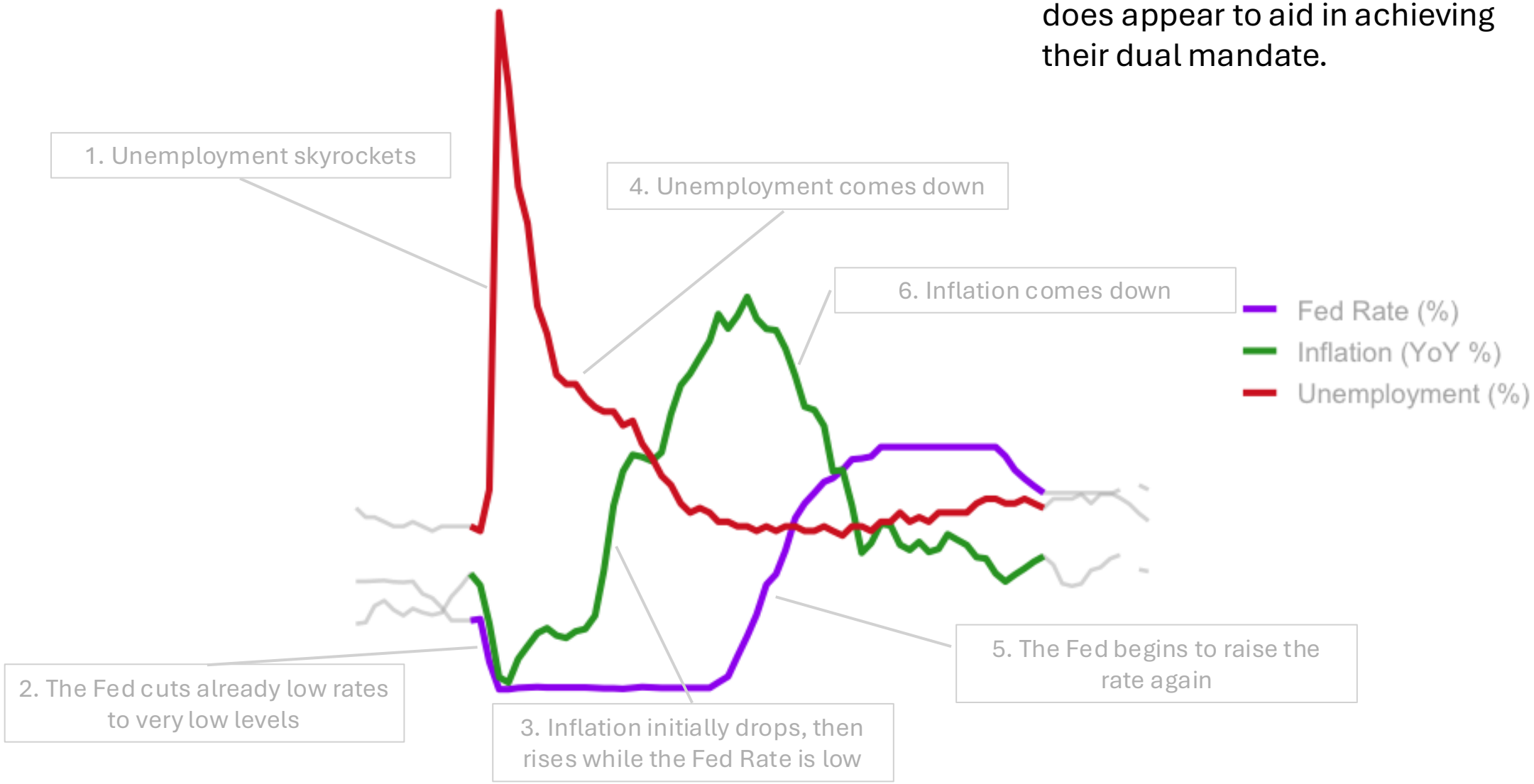
The COVID caused financial crisis

2008 Financial Crisis



2020 COVID Financial Crisis

The Feds use of the Funds Rate does appear to aid in achieving their dual mandate.



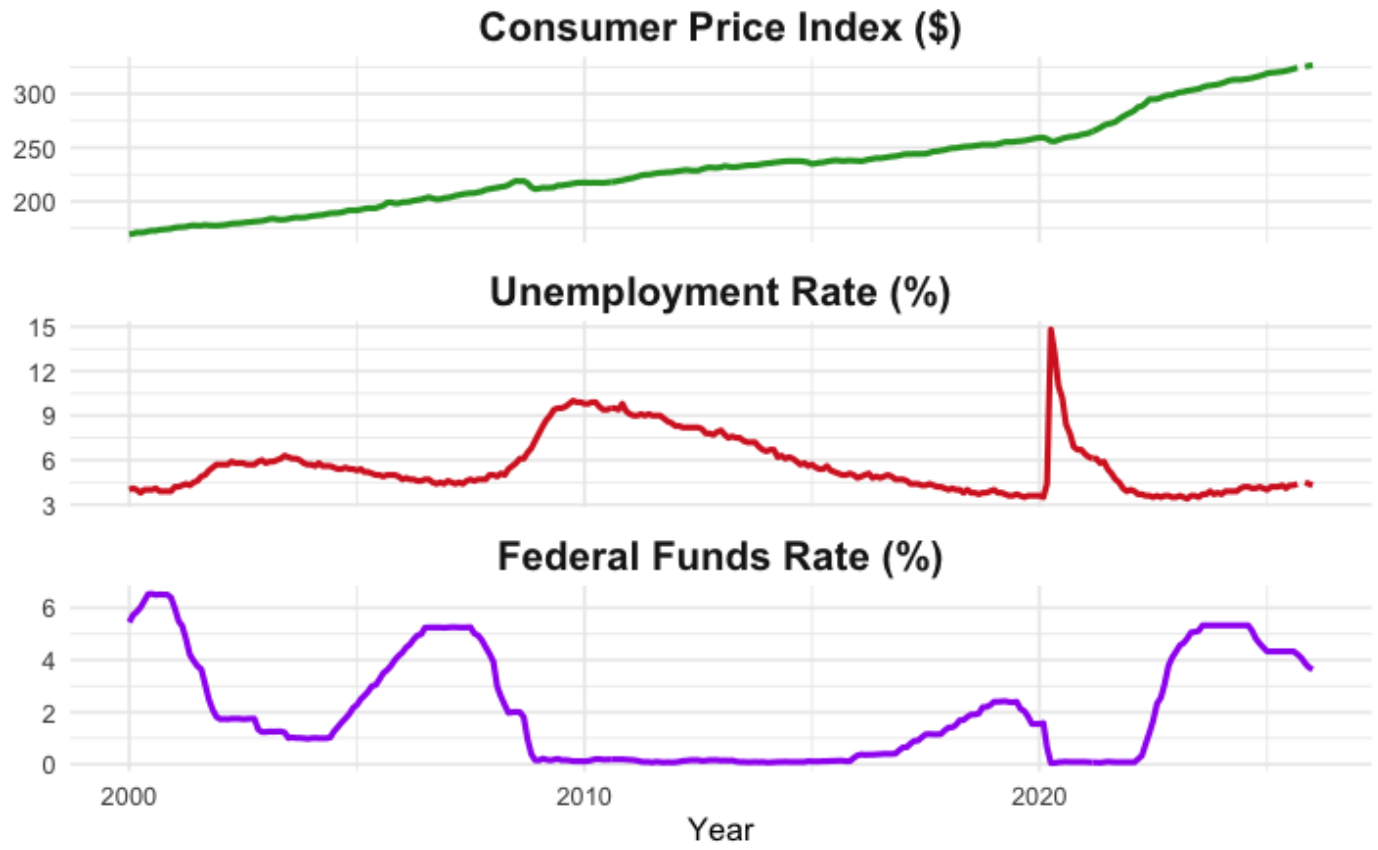
Inflation & Employment

The Federal Reserve Bank (The Fed) has a dual mandate:

- **Control inflation**
- **Maximize employment** (minimize unemployment)

Influenced by the Department of Labor's Consumer Price Index and Unemployment Rate, The Fed's primary tool for achieving its mandate is controlling the The Fed Funds Rate.

Over the last 25 years has The Fed been able to achieve this dual mandate?



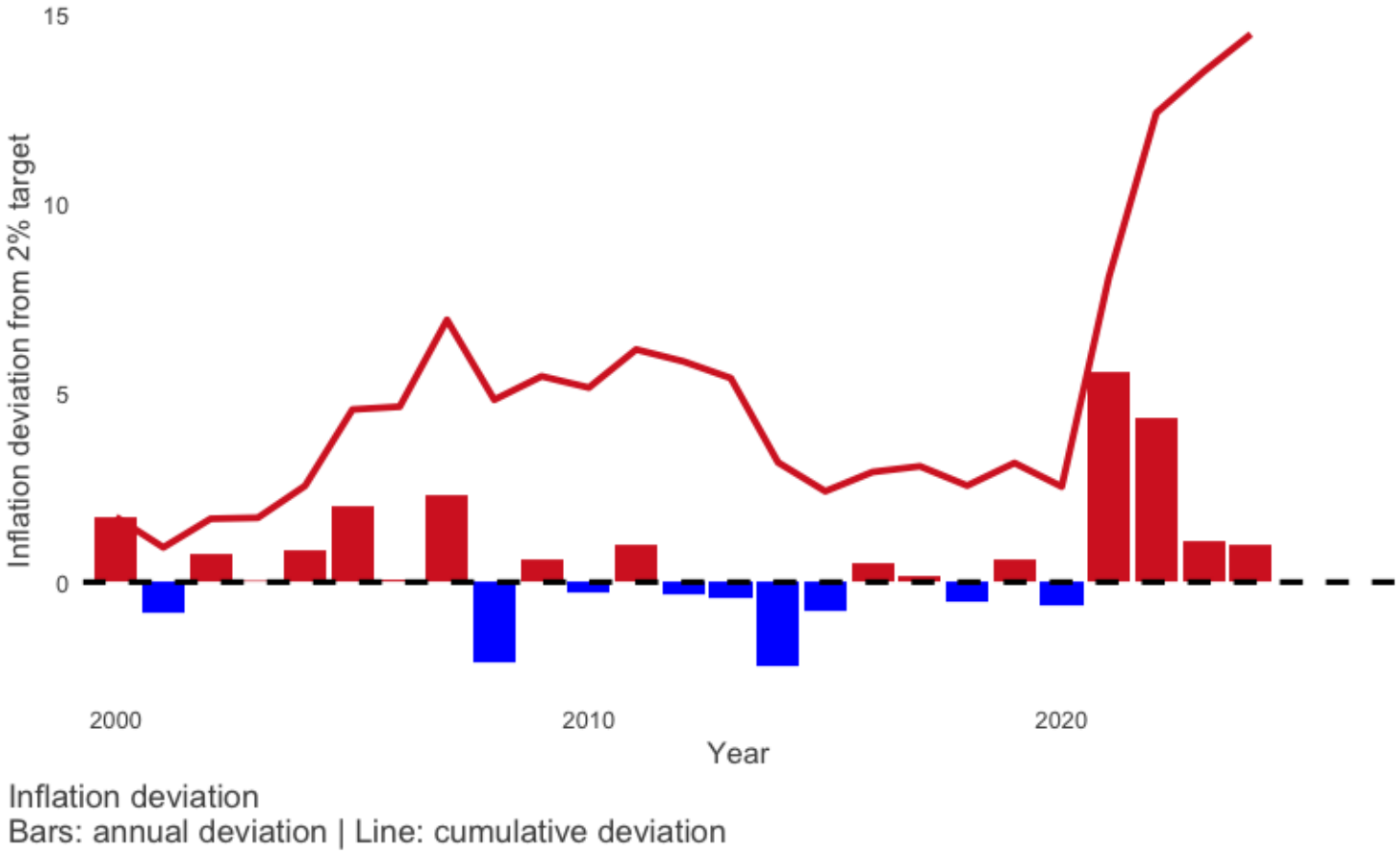
Inflation

The Fed "seeks to achieve inflation at the rate of 2 percent over the longer run…"[1]

The **Fed has not achieved their target**.

Over the last 25 years:

- Average annual inflation: **2.5%**
- **16 years had inflation rates above target**
- **Cumulative inflation over target is 14.5%** over the last 25 years



1. https://www.federalreserve.gov/economy-at-a-glance-inflation-pce.htm

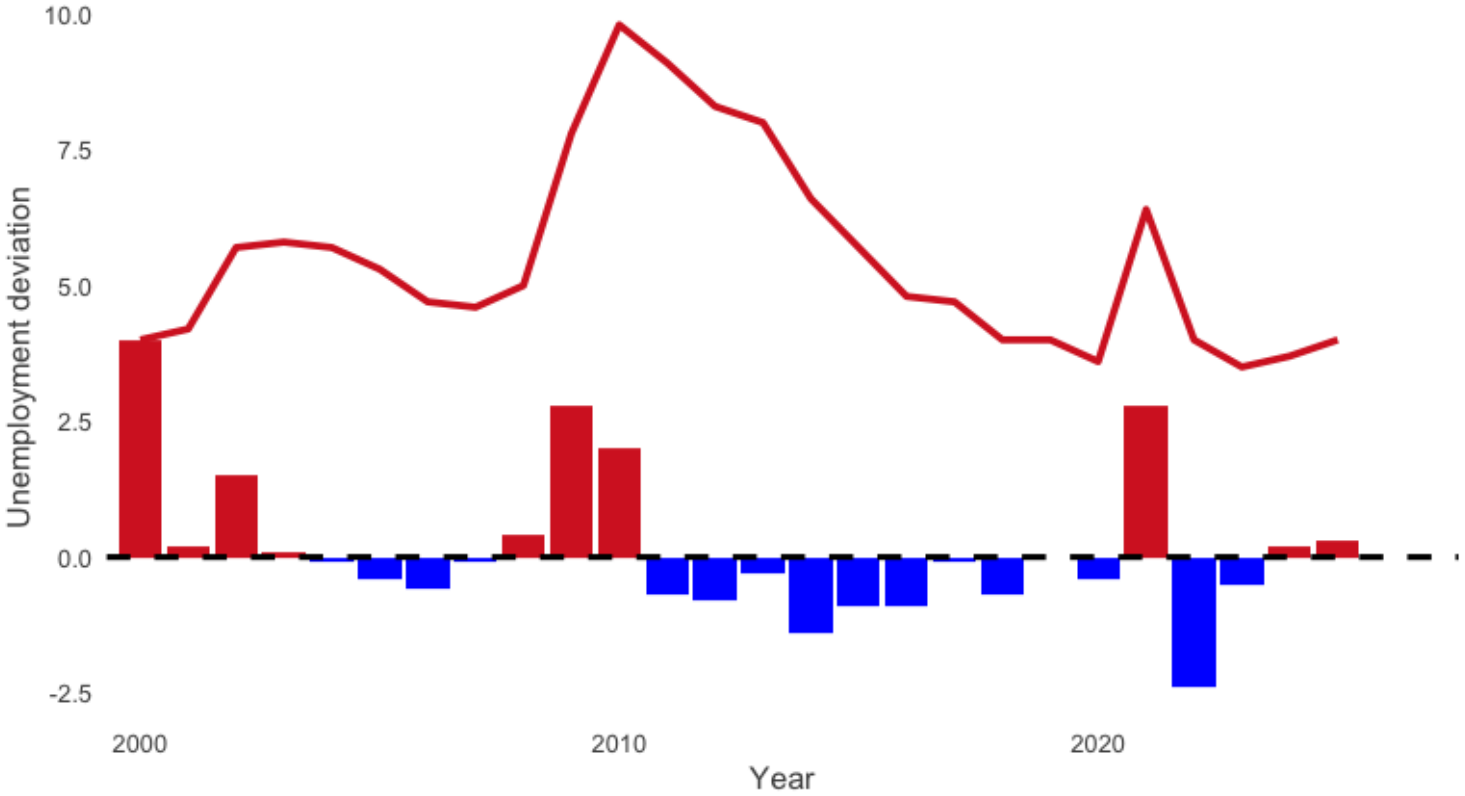
Unemployment

The Fed seeks “to promote maximum employment…”[1]

The **Fed has performed relatively well in controlling unemployment**.

Over the last 25 years:

- Average annual unemployment rate: **5.5%**
- **16 years had declines in the unemployment rate**



Unemployment deviation
Bars: annual deviation | Line: cumulative deviation

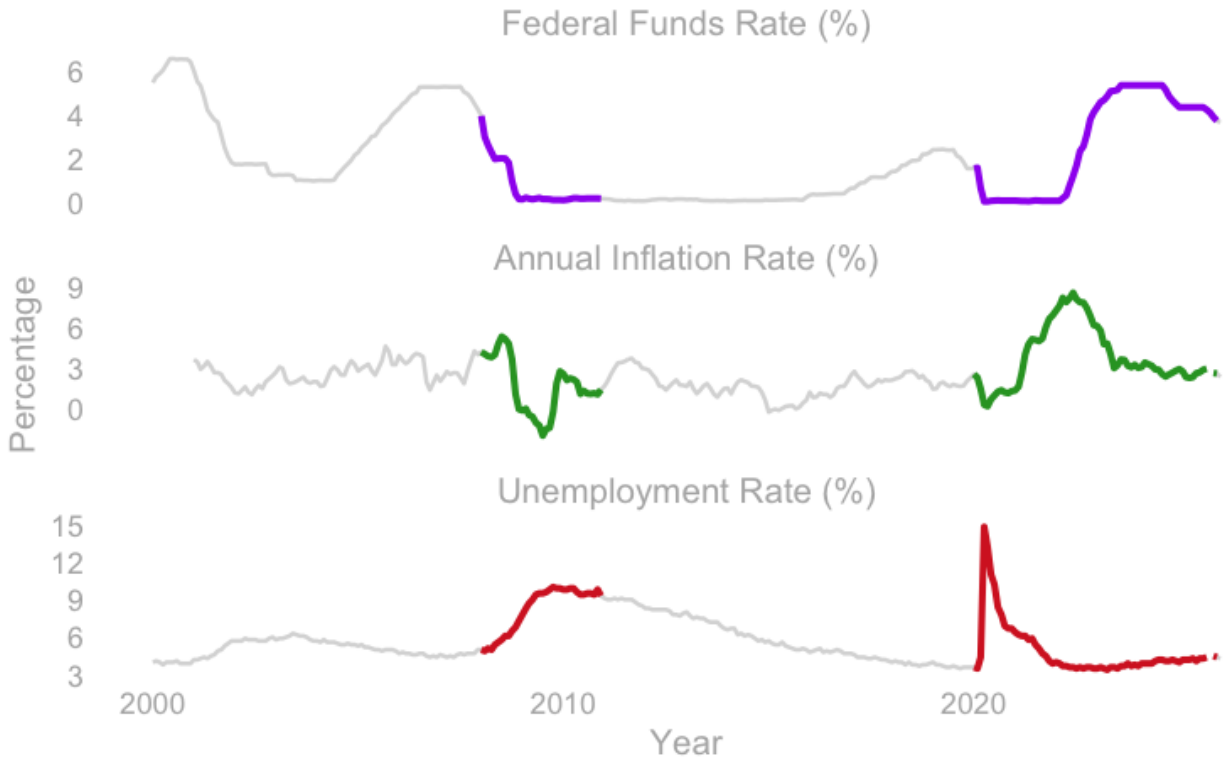
1. https://www.federalreserve.gov/economy-at-a-glance-unemployment-rate.htm

Using the Fed Funds Rate

Inflation is persistent, and difficult to control.

The Fed Funds Rate can be used to influence inflation and unemployment.

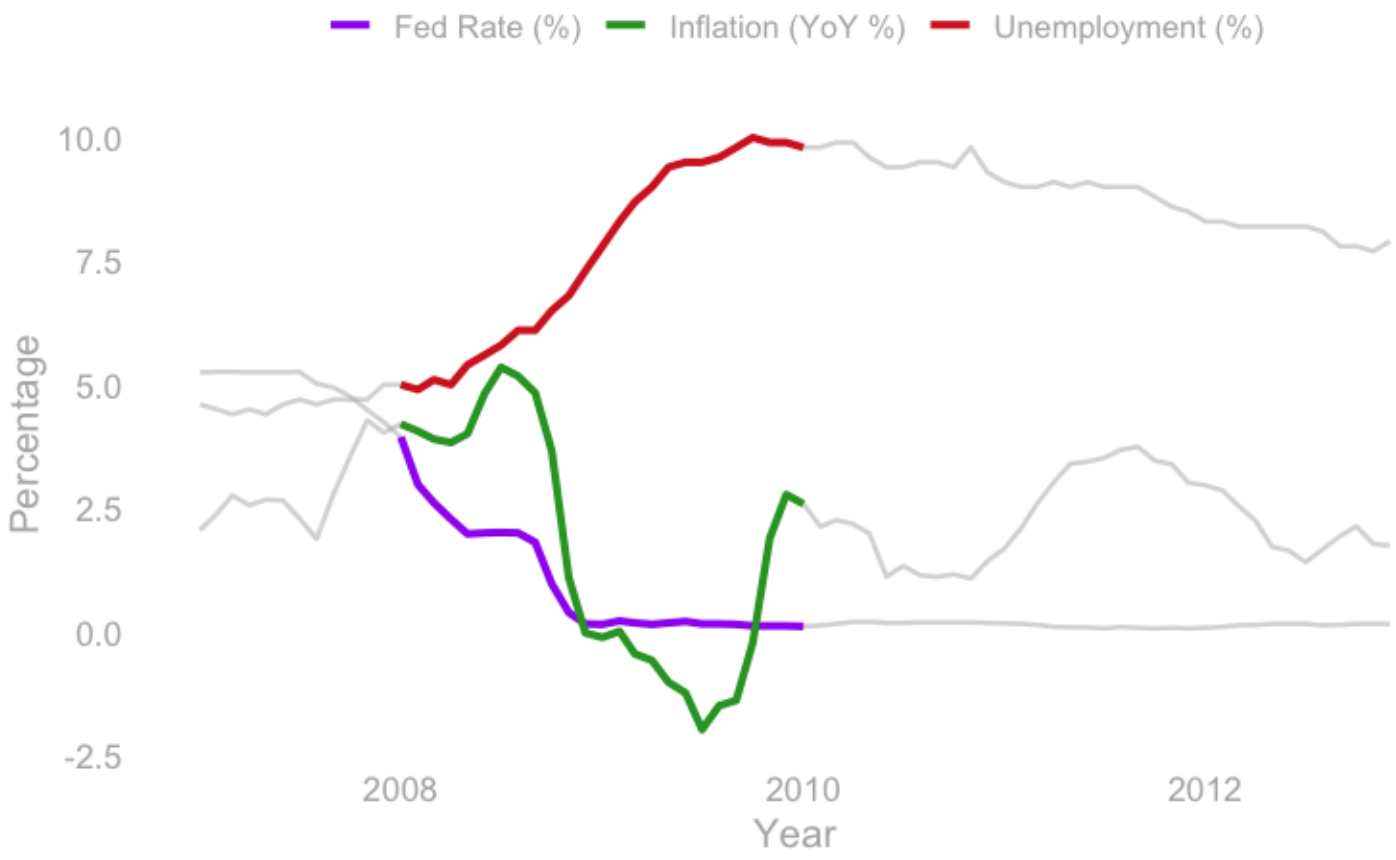
One way to consider The Feds ability to influence inflation and unemployment is to observe what happens during a financial crisis, specifically **the 2008 financial crisis** and **the 2020 Covid-caused financial crisis.**



2008

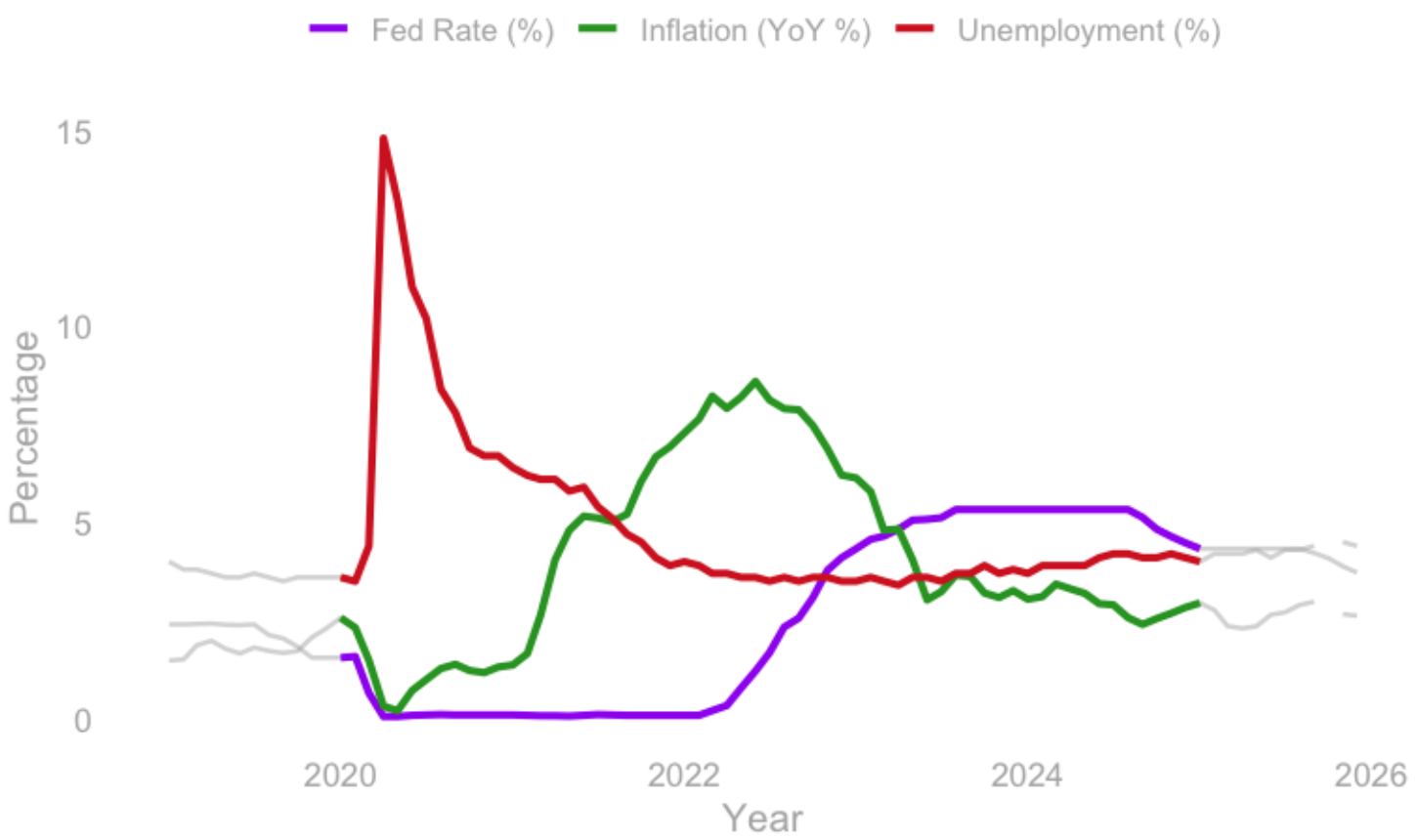
This 2008 highlight shows a potential Fed Fund Rate in action:

- As unemployment rises, the fed starts cutting the funds rate.
- There is a brief spike in the inflation rate, during which time the Fed keep the funds rate steady, while unemployment rises
- As the crisis sets in, inflation falls and the Fed continues to cut the rate.
- The Fed holds the rate at a very low level for a long time, inflation fluctuates as the markets recover, while unemployment slowly declines.



2020

This 2020 highlight shows a potential Fed Fund Rate in action:

- As Covid set in, unemployment skyrocketed, the fed cut the Funds rate rapidly to a very low level.
- The Fed held the rate at a low level for an extended period, as unemployment began to decline, inflation rose significantly.
- Eventually, the Fed began to raise the Funds rate and there was a decline in the rate of inflation, while unemployment stabilized.

While monetary policy is a complex, interconnected process, the action in this progression indicates that **the Fed's use of the Fund Rate is helping them achieve their mandate.**